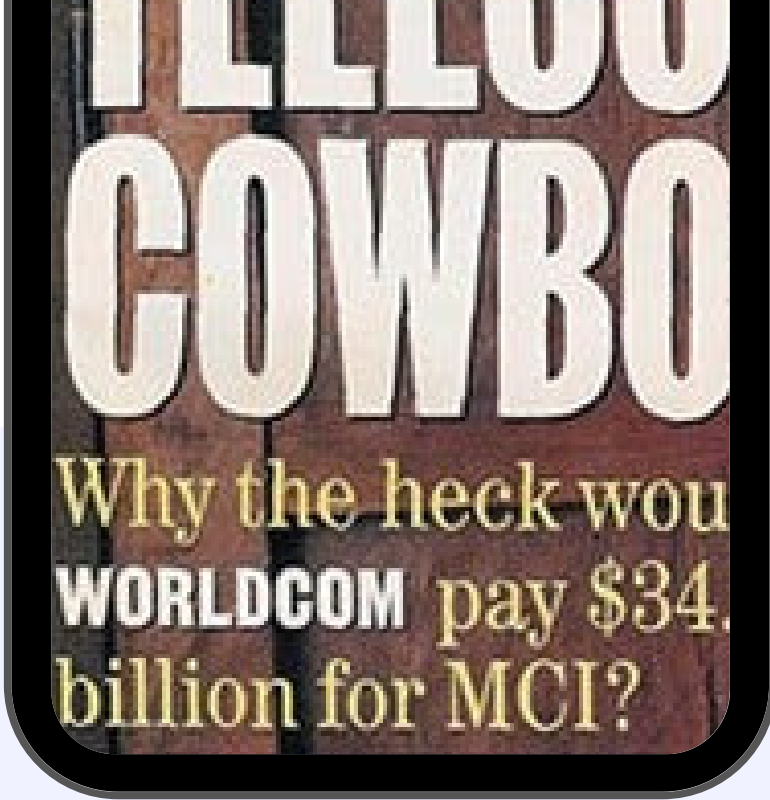
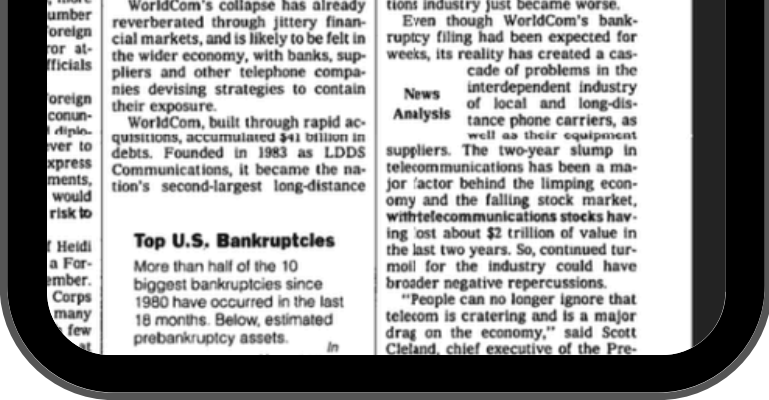


FINANCIAL REGULATIONS PROJECT



Presented by: Naye Kanoute, Islam Mkaouar, Richard Brouquier, Elisa Chen



THE WORLDCOM SCANDAL: A GIANT FALLS.

Context & Overview:

- At the turn of the millennium, WorldCom stood as a titan of the American telecommunications industry. However, behind its rapid growth lay a fragile foundation. By 2002, the company was already struggling under a staggering **\$41 billion debt**. All while the corporate world was still reeling from the recent Enron collapse.

The Discovery:

The house of cards collapsed in **June 2002** when **Cynthia Cooper**, the Vice President of Internal Audit, began a secret investigation. Her team's diligence led to the discovery of massive accounting irregularities:

- **Fraudulent Entries**: Nearly **\$4 billion** in misallocated funds.
- **Method**: Operating expenses were illegally recorded as capital expenditures to artificially boost profits.
- **Whistleblowing**: This internal audit remains one of the most famous acts of corporate courage in history, ultimately leading to the largest bankruptcy filing in U.S. history at the time.



FRAUD MECHANISM:

I. A Fragile Empire (2000–2001)

- **Economic Pressure:** Already burdened by a **\$41 billion debt**, WorldCom faced a saturated market and the aftermath of the **Enron scandal**, which heightened investor scrutiny.
- **Early Red Flags:** As early as December 2000, financial executive **Kim Emigh** identified accounting pressures. She was instructed to misclassify labor costs, leading her to report concerns of tax fraud to COO Ron Beaumont.
- **Corporate Retaliation:** Instead of investigating, the company reprimanded and fired Emigh in March 2001, signaling a culture of silence.



FRAUD MECHANISM:

II. The Internal Audit Discovery

- **Cynthia Cooper's Investigation:** Acting as VP of Internal Audit, Cooper and her team conducted a clandestine investigation into the company's books.
- **The "Smoking Gun":** They initially uncovered **\$3.8 billion** in fraudulent entries.
- **The Mechanism:** WorldCom was hiding losses by recording **operating expenses** (regular costs) as **capital expenditures** (long-term investments), artificially inflating assets and net income.

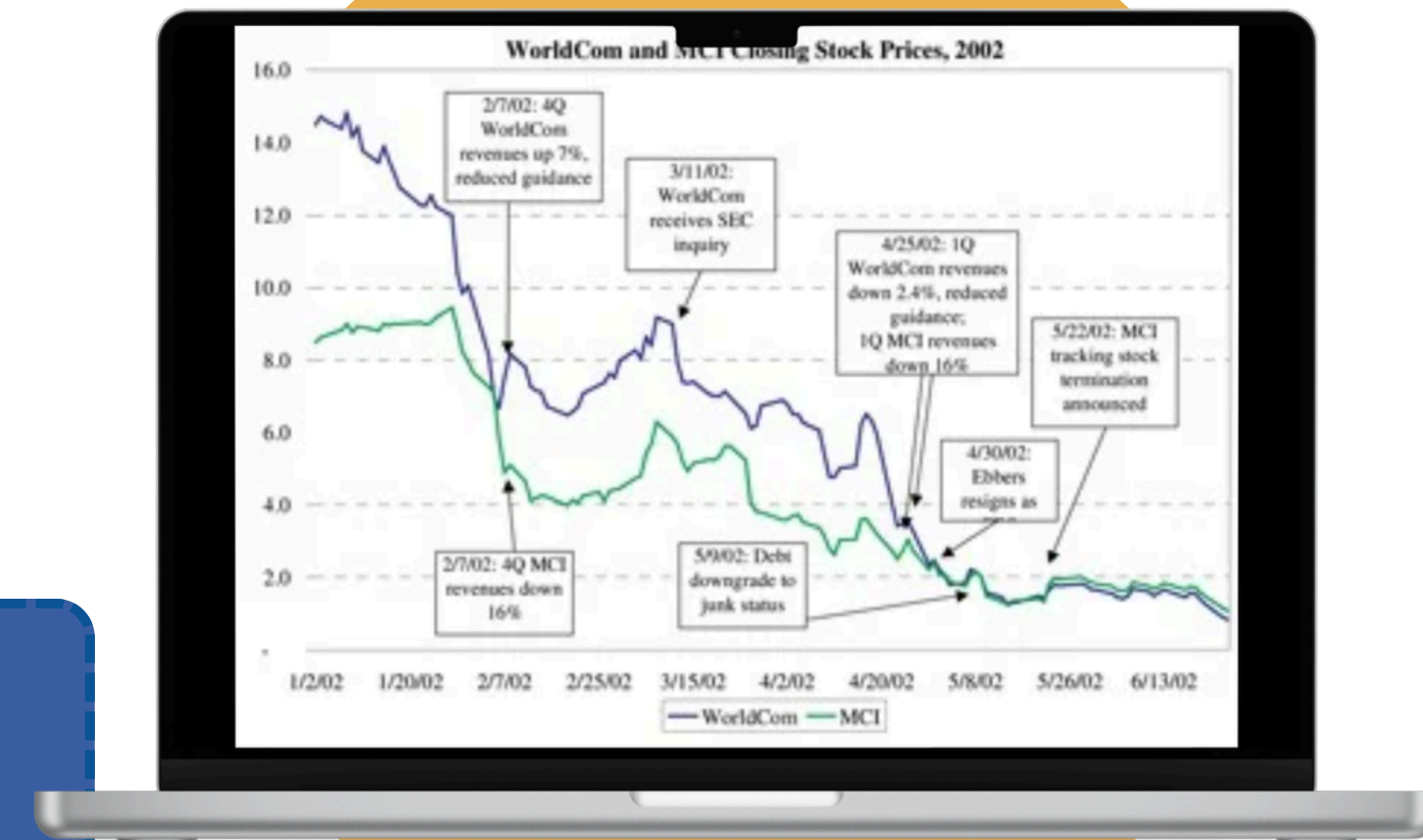
02



FRAUD MECHANISM:

III. The Aftermath

- **Unprecedented Scale:** The company eventually admitted to overstating assets by more than **\$11 billion**, marking it as **the largest accounting fraud** in U.S. history at that time.
- **Consequences:** * Immediate liquidation and bankruptcy filing.
 - The dissolution of billions in shareholder value.
 - A primary catalyst for **the Sarbanes-Oxley Act** (2002) to reform corporate governance.



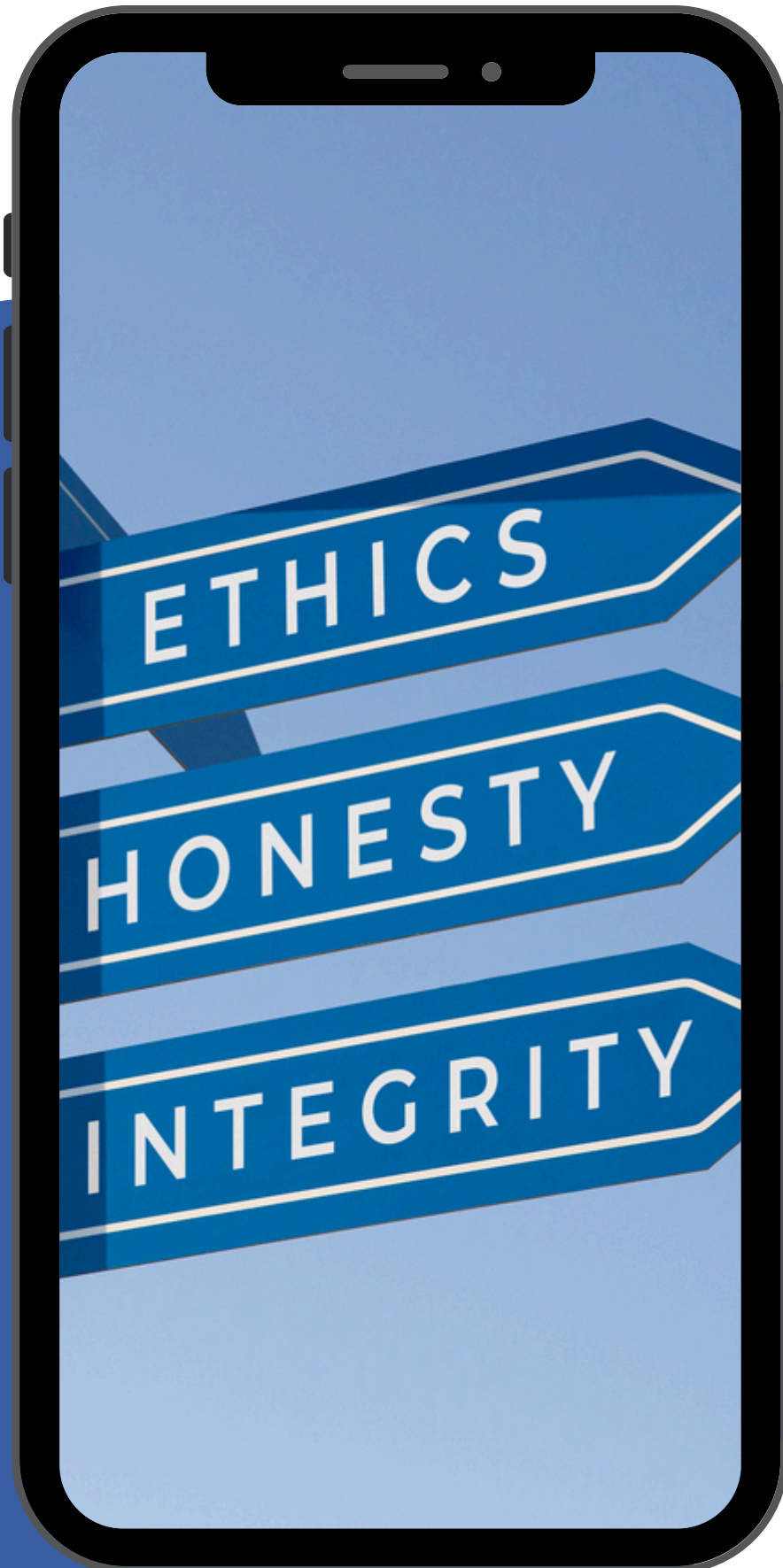
KEY STAKES & IMPLICATIONS OF THE **WORLDCOM** CASE:

1 FINANCIAL INTEGRITY & MARKET TRUST:

- **Issue:** WorldCom manipulated financial statements by capitalizing operating expenses (Line Costs).
- **Impact:** This created a **fictitious profit** of billions, misleading investors and creditors.
- **The Stake:** Restoring the reliability of financial reporting. The scandal caused a massive loss of confidence in the stock market, leading to a "trust crisis" in corporate America.

2 FAILURE OF CORPORATE GOVERNANCE:

- **The Audit Gap:** Both the external auditor (**Arthur Andersen**) and the board of directors failed to detect or stop the fraud.
- **Internal Resistance:** As shown in the case of Kim Emigh, the management actively suppressed internal concerns.
- **The Stake:** Establishing a clear separation between executive power and oversight bodies to ensure checks and balances are functional, not just symbolic



KEY STAKES & IMPLICATIONS OF THE **WORLDCOM** CASE:

3 ETHICAL CULTURE & WHISTLEBLOWER PROTECTION:

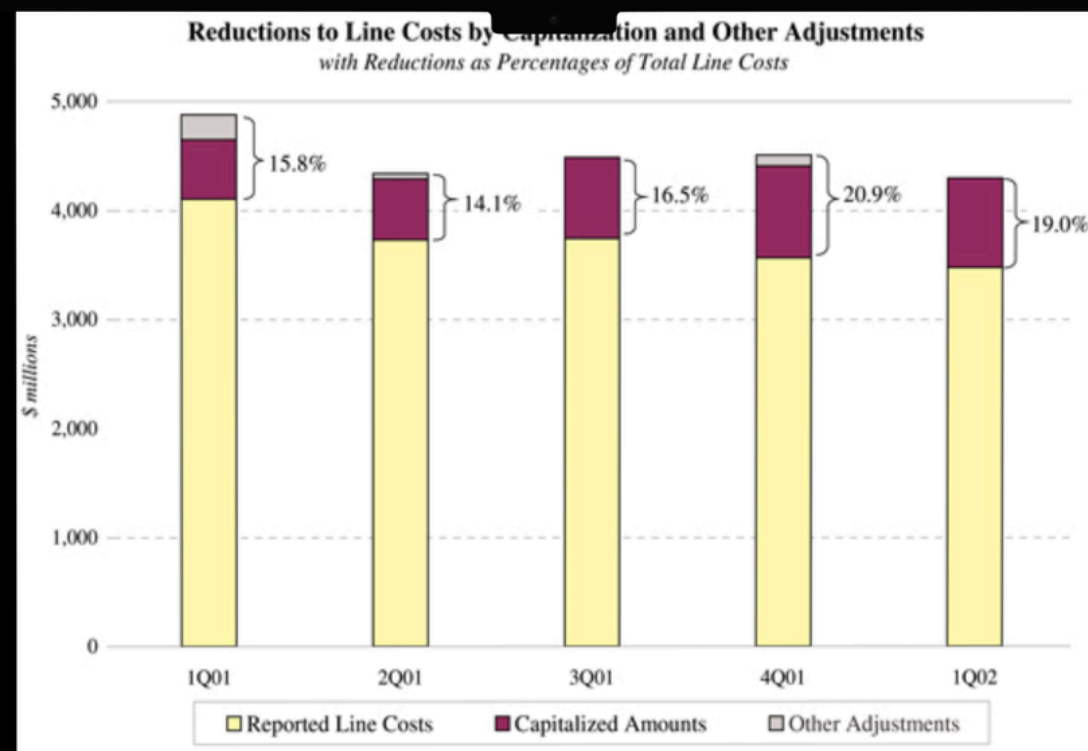
- **Retaliation vs. Integrity:** The contrast between **Kim Emigh** (fired for speaking up) and **Cynthia Cooper** (who had to work at night to avoid detection) highlighted a toxic corporate culture.
- **The Stake:** Protecting employees who report fraud. This case proved that "Top-Down" pressure can force ethical employees to commit crimes to save their jobs.

4 REGULATORY REVOLUTION (SARBANES-OXLEY ACT):

- **Legislative Response:** The scandal was the primary driver for **the Sarbanes-Oxley Act (SOX)** of 2002.
- **New Stakes:**
 - **Personal Liability:** CEOs and CFOs are now legally responsible for the accuracy of financial reports (risking prison time).
 - **Internal Controls:** Mandatory rigorous auditing of internal processes (Section 404).
 - **Auditor Independence:** Strict rules preventing audit firms from providing lucrative consulting services to the same clients.

TECHNICAL ACCOUNTING MECHANISM :

– THE CAPEX VS. OPEX SHIFT



● The Fraudulent Maneuver:

- **Line Costs Manipulation:** WorldCom systematically reclassified "line costs" (fees paid to third-party networks) from **Operating Expenses** (OPEX) to **Capital Expenditures** (CAPEX).
- **Improper Capitalization:** These costs were recorded as "fixed assets" on the balance sheet instead of being charged immediately against revenue.

● US GAAP Violation & Mastered Technicality:

- **The Matching Principle:** Under US GAAP, line costs are period expenses with no future economic benefit; they must be expensed in the period they occur.
- **Depreciation Trick:** By "parking" expenses in assets, WorldCom spread the cost impact over decades (via depreciation) instead of reflecting the full loss immediately.
- **Intent:** The goal was to hide the reality of a saturated market and a declining business model from investors.

QUANTIFYING THE DISTORTION:

INDICATOR	REPORTED FIGURE	REAL FIGURE	DISTORTION
FRAUD PERIOD	Presented as growth years	2001-2002	Concealment maintained over two fiscal years
OPERATING COSTS (LINE COSTS)	Capitalized as assets (CAPEX)	Should have been expensed immediately	\$3.8B hidden from income statement
OPERATING MARGIN	+20%	Negative	Investors saw a profitable company that didn't exist
BALANCE SHEET ASSETS	Inflated by fictitious assets	Overstated by \$11B.	Masked the real insolvency of the company
MARKET CAPITALIZATION	~\$180B at peak	\$0 after bankruptcy	\$180B destroyed upon fraud revelation
HIDDEN DEBT	\$41B debt burden	Not fully visible to market.	Solvency ratios were falsified.

GOVERNANCE AND AUDIT FAILURES:

External Auditors

- **Responsible** for verifying **WorldCom** Accounts
- **Conducted** **insufficient audit tests** and had a conflict of interest – earned too much from WorldCom to be truly independent
- **Result**: they saw nothing, or **pretended** not to.

ARTHUR
ANDERSEN
& CO.

Board of directors

- Supposed to oversee management, however, **CEO Bernie Ebbers** did as he pleased – No real control system existed.
- **Management** could bypass all rules since no one is challenging them.



Market Regulators

- Should have noticed that the **CAPEX** figures were **inconsistent** with the company's **revenues**
- **Failed** to detect any warning signs.



Vice President and Chief Audit Executives

- **Discovered the fraud** but had to investigate secretly, at night, without telling her management – knowing they were involved
- She is the one who ultimately **exposed everything**



NATURE OF THE CASE:

Deliberate Fraud:

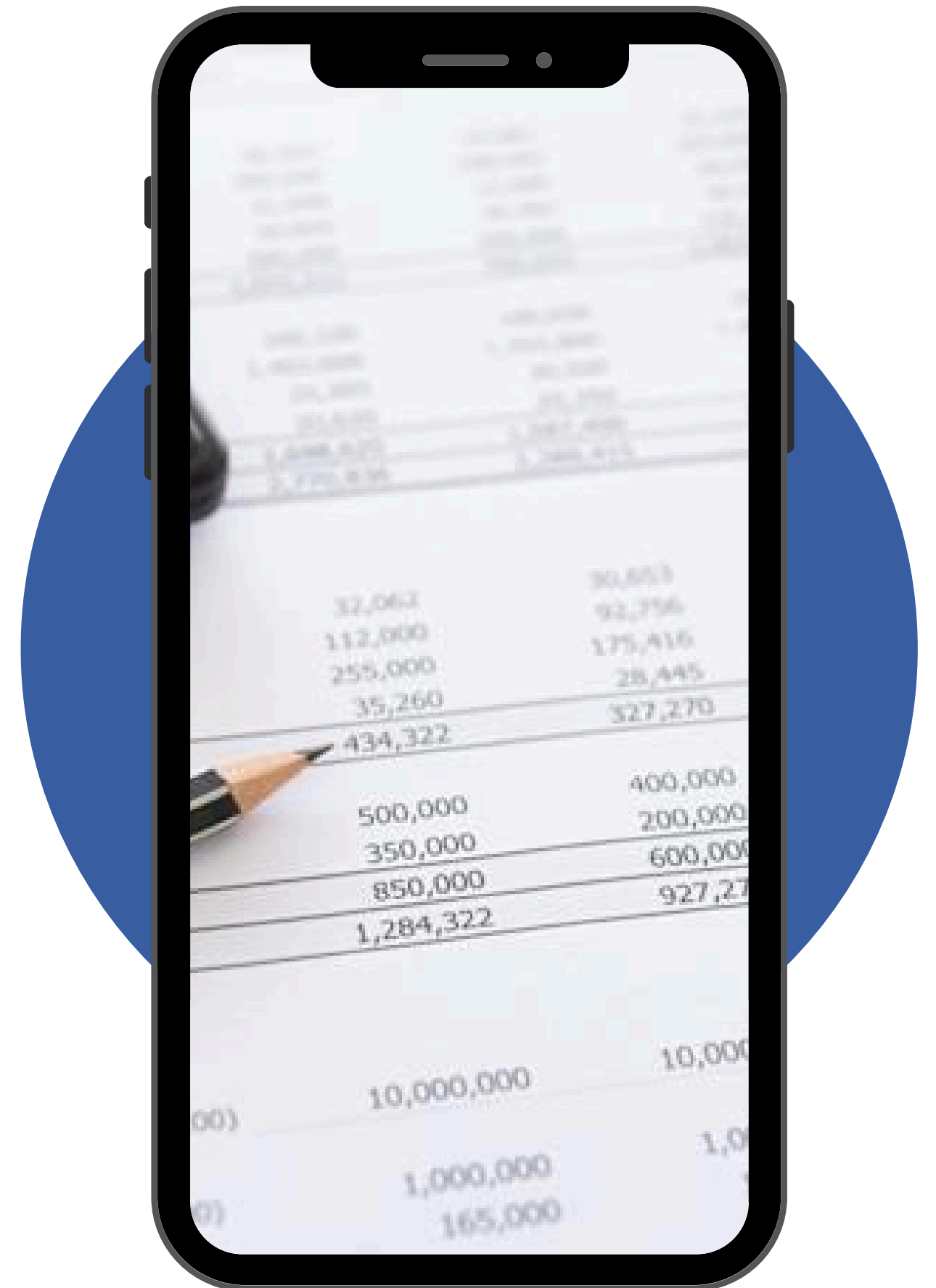
Operating expenses (line costs) were intentionally reclassified as capital expenditures — a clear violation, not an error.

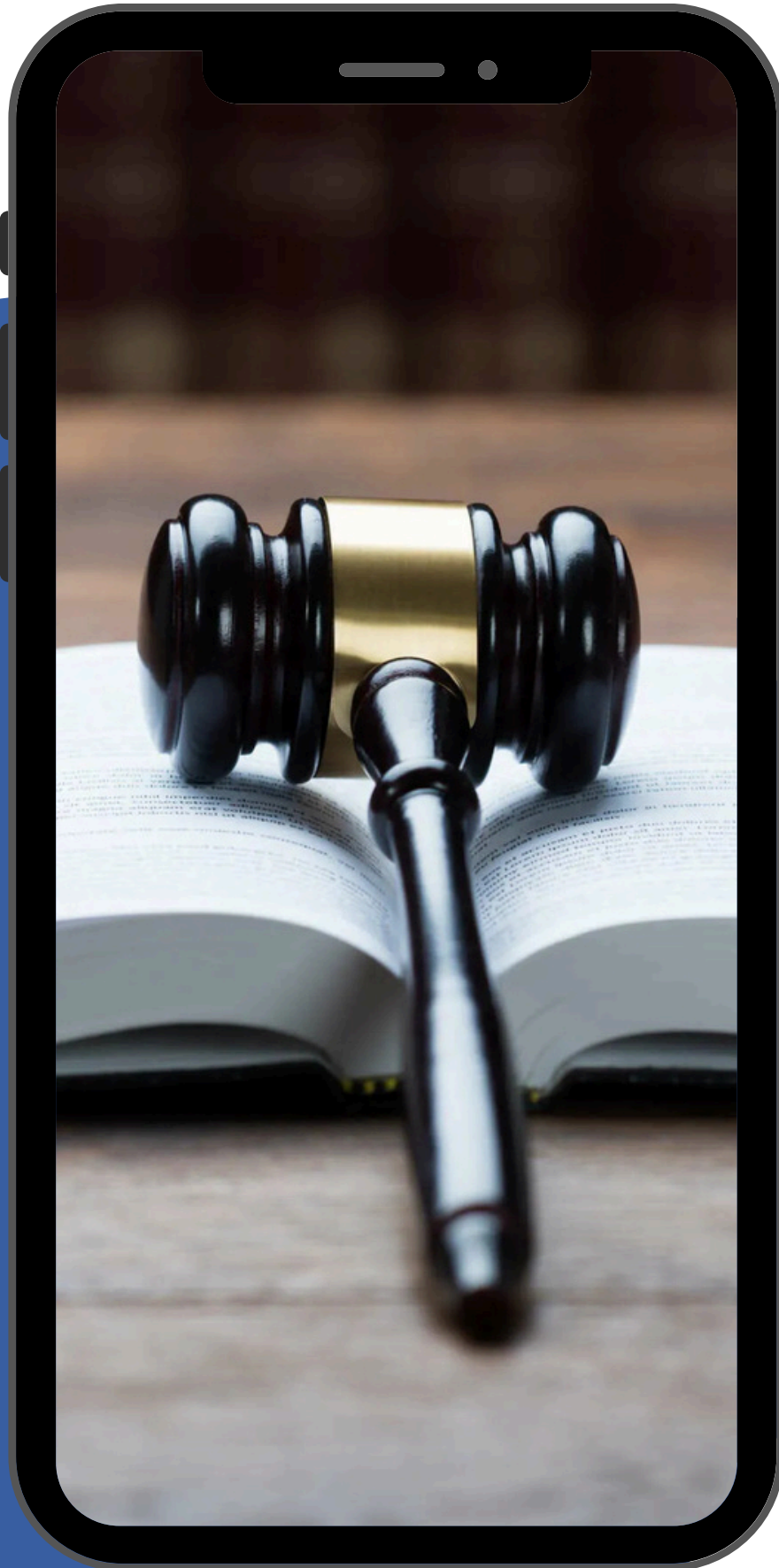
GAAP Violations:

The scheme directly violated US GAAP, artificially inflating profits and concealing mounting losses from investors.

Scale of Deception

Assets were overstated by over \$11 billion — one of the largest accounting frauds in U.S. corporate history.





THE REGULATORY CONSEQUENCES:

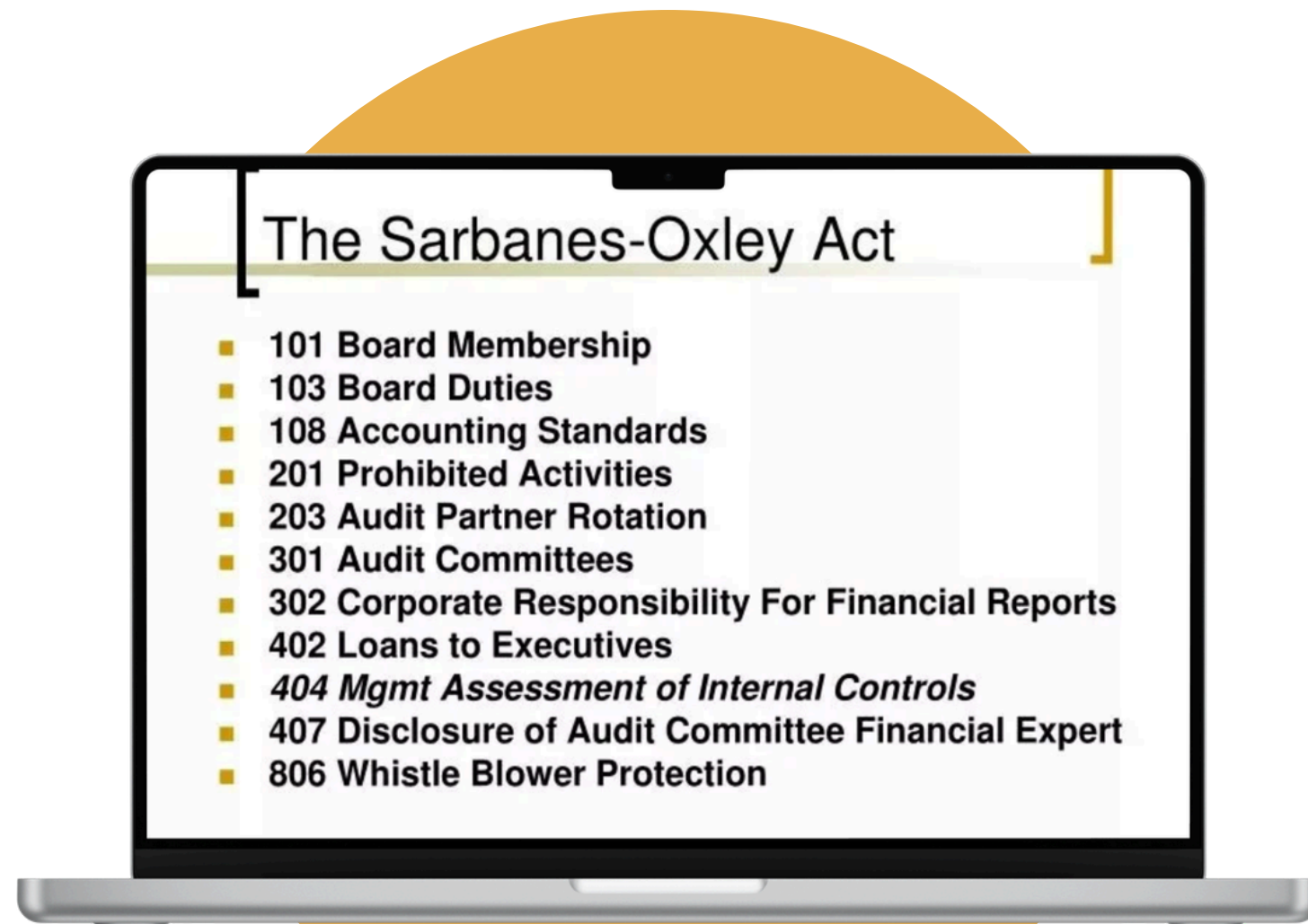
1 IMMEDIATE FALLOUT:

- *Largest U.S. bankruptcy at the time*
- *Massive destruction of shareholder value*
- *Deep shock to market confidence*

2 LEGAL ACTIONS:

- *SEC enforcement proceedings launched*
- *CEO Bernie Ebbers sentenced to 25 years*
- *CFO Scott Sullivan pleaded guilty*

THE REGULATORY CONSEQUENCES: -THE SARBANES-OXLEY ACT



CEO/CFO Certification:

Executives personally certify the accuracy of financial reports



Internal Controls (§404):

Mandatory assessment and reporting of internal control effectiveness.



Auditor Independence:

Stricter separation between audit and consulting services.



Whistleblower Protection:

Federal legal protection for employees who report fraud.

CONCLUSION

Dual Failure

- WorldCom was simultaneously an accounting fraud and a governance failure — both dimensions are inseparable.

01

Core Lesson:

- Weak internal controls combined with unethical leadership can bring down even a Fortune 500 company.

02

Lasting Reform

- The case permanently strengthened corporate governance standards and financial reporting rules across global markets.

03

WHAT MARKETS REQUIRE:

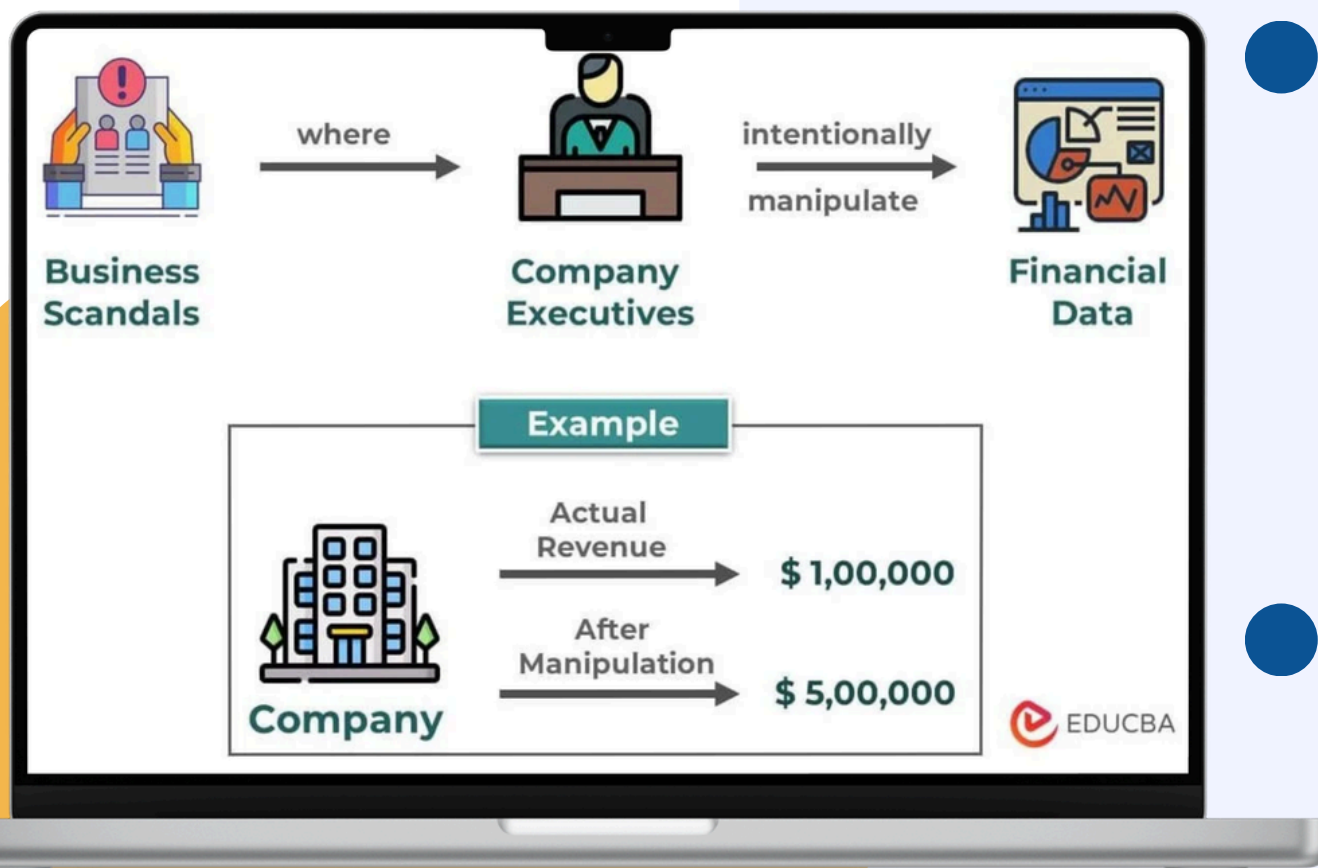
- *Transparent, accurate financial statements*
- *Ethical leadership at every level*
- *Protected channels for whistleblowers*
- *Independent, rigorous external audits*

THANK YOU!
QUESTIONS?



FINANCIAL IMPACT & KPI DISTORTION:

– QUANTIFYING THE MANIPULATION



● The Fraudulent Maneuver:

- **EBITDA Inflation:** Artificially boosted by **\$3.8 billion** initially (totaling over **\$11 billion**), as EBITDA excludes the depreciation of these fake assets.
- **Operating Margin:** Reported at a robust **+20%**, while the true figure was **Negative**.
- **Asset Overstatement:** The balance sheet was inflated by **\$11 billion** in fictitious assets, masking the company's actual insolvency.

● Distortion of Economic Reality:

- **Cash Flow Misclassification:** Cash outflows for operations were disguised as "Investing Activities," misleading analysts about the company's ability to generate cash from its core business.
- **Critical Conclusion:** This was not "aggressive accounting" (using managerial discretion) but **deliberate fraud**. The accounting ceased to reflect the economic substance, becoming a tool for fraudulent financial storytelling.